CHAPTER 2

CHAPTER 2

CONCEPTUALIZING GREENWASHING AND CORPORATE GOVERNANCE INTERVENTION

Greenwashing is no longer just a marketing trick. It has become a recurring way in which corporations manage reputation, investor expectations and regulatory pressure without making matching environmental changes. This chapter traces that shift. It follows the term from its early use to its spread across product advertising, corporate communications and ESG disclosures, then explains why the practice persists. The argument is direct: greenwashing survives not simply because companies use vague words, but because governance systems still tolerate the gap between environmental language and environmental performance.

2.1 THE EVOLUTION AND FOUNDATIONAL DEFINITIONS OF GREENWASHING

2.1.1 GENESIS OF THE TERM

The exact origin of the term is debated, though most writers trace it to Jay Westerveld's 1986 essay on hotels asking guests to reuse towels in the name of environmental concern while mainly aiming to cut costs.[21] That example captured the core idea early: environmental language used as a cover for ordinary commercial advantage. From there, the term moved from journalism into academic writing and then into regulatory debate. Interest rose sharply after 2011 and greenwashing is now discussed across marketing, corporate governance, ESG disclosure and business ethics.[22]

[21] Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR*, 12 Współczesne Problemy Ekonomiczne 95 (2016).

[22] Sebastião Vieira De Freitas Netto et al., *Concepts and Forms of Greenwashing: A Systematic Review*, 32 Env't Sci. Eur. 19 (2020).

2.1.2 DEFINING GREENWASHING: CORE ELEMENTS AND CONCEPTUAL NUANCES

Greenwashing creates a false or inflated impression of environmental responsibility.[23] The common thread across definitions is simple: there is a gap between the claim and the reality. That gap may appear through outright falsehood, vague language, missing context, or selective disclosure. Vollero's review found multiple competing definitions, which helps explain why enforcement often remains uneven.[24]

Key definitions include:[25]

- The Oxford Dictionary: "disinformation disseminated by an organization so as to present an environmentally responsible public image".
- Greenpeace: Defines it as a "PR tactic used to make a company or product appear environmentally friendly, without meaningfully reducing its environmental impact", or more broadly, "the act of misleading consumers regarding the environmental practices of a company or the environmental benefits of a product or service".
- Webster's New Millennium Dictionary: Describes it as "the practice of promoting environmentally friendly programs to deflect attention from an organization's environmentally unfriendly or less savory activities".
- European Securities and Markets Authority (ESMA): Views greenwashing as a practice where sustainability-related statements, declarations, actions, or communications do not clearly and fairly reflect the underlying sustainability

[23] Silvia Ruiz-Blanco, Silvia Romero & Belen Fernandez-Feijoo, *Green, Blue or Black, but Washing, What Company Characteristics Determine Greenwashing?*, 24 Env't Dev. & Sustainability 4024 (2022).

[24] Agostino Vollero, *Greenwashing: Foundations and Emerging Research on Corporate Sustainability and Deceptive Communication* 1–25 (2022).

[25] Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR*, 12 Współczesne Problemy Ekonomiczne 95, 95 (2016).

profile of an entity, financial product, or service, thereby potentially misleading consumers, investors, or other market participants.

Not every case begins with deliberate fraud. Some arise from weak controls, loose sustainability language, or poor internal verification. But the result is the same, consumers, investors and regulators receive a distorted picture of environmental performance.[26] In scholarship, two recurring markers are especially important, selective disclosure and decoupling between claims and conduct.[27]

Greenwashing is also not confined to corporations.[28] Governments, public institutions, NGOs and cultural bodies may use environmental messaging to gain legitimacy without making matching changes.[29] The concept therefore works as a broad umbrella for misleading environmental representation across different institutional settings.

2.1.3 EVOLUTION AND CONTEMPORARY FRAMEWORKS

Academic interest in greenwashing was visible in the 1980s, but it gathered real force only after 1995. Early work, especially from 1995 to 2004, was broad and often polemical. It relied heavily on illustrative case studies. Between 2005 and 2009, the field matured. Empirical and conceptual work both expanded. By 2010 to 2013, the literature had become more theoretically ambitious and methodologically careful. Throughout that shift, the Journal of Business Ethics emerged as a leading forum for greenwashing scholarship.[30] Interest has only grown since then. Yet the concept remains difficult to pin down because it is now treated as interdisciplinary, multi-

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[26] Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR*, 12 Współczesne Problemy Ekonomiczne 95, 95 (2016).

[27] Sebastião Vieira De Freitas Netto et al., *Concepts and Forms of Greenwashing: A Systematic Review*, 32 Env't Sci. Eur. 19, 19 (2020).

[28] Toby Miller, *Greenwashing Culture* 15–45 (2017).

[29] John Pabon, *The Great Greenwashing: How Brands, Governments, and Influencers Are Lying to You* 1–30 (2023).

[30] Sebastião Vieira De Freitas Netto et al., *Concepts and Forms of Greenwashing: A Systematic Review*, 32 Env't Sci. Eur. 19 (2020).

layered and far wider than corporate advertising alone. Governments, NGOs, political actors, research bodies and international organisations all enter the picture. So does motive. Sometimes the conduct is minor exaggeration. Sometimes it is calculated fabrication driven by competition, consumer demand for sustainable products and weak regulation.

TerraChoice gave product-level greenwashing one of its most durable taxonomies: the "Seven Sins of Greenwashing", developed from studies in the United States and Canada between 2007 and 2010. The framework remains useful because it names recurring patterns rather than isolated examples.[31] Hidden trade-off describes claims built around one attractive feature while ignoring heavier damage elsewhere in the product life cycle. Fibbing is simpler. It is outright falsehood. No proof captures claims made without verifiable evidence or accessible third-party support. Vagueness covers terms such as "eco-friendly", "sustainable", or "natural" when they carry no measurable content. Irrelevance refers to claims that are technically true but meaningless, as when products are advertised as "CFC-free" long after the law already bans CFCs. The lesser of two evils describes claims of superiority inside a category that remains environmentally harmful overall. Worshipping false labels captures the use of invented or misleading certifications that mimic genuine third-party approval.

Complementing this perspective, Greenpeace conceptualises greenwashing as a form of public relations strategy through which firms or products seek to appear environmentally responsible while failing to effectuate substantive or meaningful reductions in environmental harm. According to this view, greenwashing functions primarily as an image-management technique aimed at maintaining business-as-usual models under a veneer of ecological concern. To facilitate its detection, Greenpeace proposes four indicative criteria:

[31] *See* TerraChoice, *The Sins of Greenwashing: Home and Family Edition* 1–5 (2010); *see also* European Commission, *Environmental Claims in the EU: Inventory and Reliability Assessment* 7–12 (2020), https://op.europa.eu/en/publication-detail/-/publication/f7c4cb8b-f877-11ee-a251-01aa75ed71a1/language-en (last visited Jan. 18, 2024); *see also* Kantar, *Who Cares, Who Does? Sustainability Attitudes and Actions Around the World* 18 (2024).

1. **Dirty Business**: Companies whose core operations are fundamentally environmentally damaging despite sustainability-oriented claims.
2. **Ad Bluster**: Exaggerated or misleading advertising rhetoric.
3. **Political Spin**: Political manoeuvring designed to influence policy or public perception in ways that simulate environmental leadership without genuine action.
4. **Compliance as Virtue**: Instances where organisations present regulatory compliance as voluntary sustainability initiatives.[32]

Thomas P. Lyon and A. Wren Montgomery[33] made a significant contribution to the scholarly understanding of greenwashing by offering a comprehensive conceptualisation that broadened and refined existing definitions. In their 2015 review, they characterised greenwashing as any form of communication that leads audiences to form overly positive perceptions regarding an organisation's environmental performance, policies, or products. They deliberately adopted a broad definition in order to align academic and popular usage, support analytical clarity and foster interdisciplinary engagement. Their work also laid out several evolving varieties of greenwashing, acknowledging that the literature remained dynamic and that no final taxonomy had yet been determined. These included selective disclosure, in which organisations foreground favourable environmental information while obscuring less sustainable practices and the articulation of empty green claims or policies that project environmental responsibility without measurable or substantive outcomes. They also identified the proliferation of dubious or manipulated certifications and labels, as well as strategic partnerships with NGOs that may either inadvertently or knowingly confer legitimacy on environmentally questionable practices. Further, they noted participation in voluntary programmes that fail to yield

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[32] Francesca Bernini & Fabio La Rosa, *Research in the Greenwashing Field: Concepts, Theories, and Potential Impacts on Economic and Social Value*, 28 J. Mgmt. & Governance 405 (2024).

[33] Thomas P. Lyon & A. Wren Montgomery, *The Means and End of Greenwash*, 28 Org. & Env't 223 (2015).

meaningful environmental progress, alongside the construction of narratives and discourses that, though not explicitly false, shape disproportionately positive perceptions of environmental commitment. Finally, they observed the use of evocative visual imagery, such as nature-themed colour palettes, landscapes, or natural sounds, as a communicative strategy to imply environmental responsibility even in the absence of supporting evidence.

While their 2015 review optimistically predicted the "end of greenwash", the phenomenon has become "more virulent than ever". In a subsequent review, Lyon and Montgomery, alongside Barg, proposed a developmental model of greenwashing research through three phases:[34]

- Greenwashing 1.0: Static Communication to Consumers: This initial phase focused on traditional product-level and consumer-facing greenwashing, often through advertising or packaging.

- Greenwashing 2.0: Dynamic Management of Stakeholders, Issues and Intermediaries: This phase recognises greenwashing as broader, involving new techniques, mechanisms and stakeholders beyond consumers, including political lobbying and strategic silence.[35]

- Greenwashing 3.0: Creation of Narratives about the Future: This emerging phase involves misleading communications that leverage uncertainty about the future, such as long-term "net zero" commitments that may lack short-term targets, rely on uncertain offsets, or are vulnerable to future renegotiation. This includes the concept of "futurewashing".

As scholarship on greenwashing continues to expand, emerging typologies demonstrate the increasing sophistication of deceptive communication strategies and the widening scope of institutional and academic scrutiny. One such evolution is the

[34] A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024).

[35] A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024).

concept of crosswashing, which refers to organisational efforts to construct an image of moral and social responsibility in order to mitigate regulatory and reputational risks, even when environmental, social and governance (ESG) metrics do not substantively support such claims; this is considered a subset of strategic greenwashing. Scholars have further identified firm-level greenwashing transgressions, beginning with dirty business, wherein organisations promote ostensibly sustainable products or practices that do not align with their fundamentally unsustainable business models or societal impacts. Fuzzy reporting represents another dimension, involving the manipulation of the one-way communicative nature of sustainability reporting to selectively disclose information and portray an exaggerated corporate social responsibility profile, while irrelevance, overlapping with TerraChoice's typology, highlights sustainability claims that merely restate legal compliance. Another subtle form, executional greenwashing, relies not on explicit verbal claims but on suggestive symbolic cues such as natural imagery, blue, green palettes and landscape or nature-based aesthetics to evoke perceptions of environmental responsibility.

Among the most notable contemporary additions are:

- **Brownwashing**: A term introduced by E. H. Kim and Lyon (2015)[36], describing the intentional under-reporting or minimisation of genuine environmental achievements (often labelled as **strategic silence** or **greenhushing**). This paradoxically may result in adverse outcomes including reduced financial performance.

- **Futurewashing**: Denotes long-term climate or sustainability commitments, such as "net-zero" pledges, that are ambitious yet lack short-term operational milestones, rely on uncertain offset mechanisms, are not legally binding, or remain open to future revision.

[36] Eun-Hee Kim & Thomas P. Lyon, *Greenwash vs. Brownwash: Exaggeration and Undue Modesty in Corporate Sustainability Disclosure*, 26 Org. Sci. 705 (2015).

The typology has also extended into areas beyond environmental concerns, reflecting a broader trend where the suffix "-washing" symbolises a deliberate obscuring of reality behind a curated facade:

- **Social & Ethical Variants**: **Wokewashing** (invoking progressive social rhetoric without authentic alignment), **Whitewashing** (concealing historical injustices or systemic racism) and **Pinkwashing** (appearing supportive of public health issues while engaging in harmful practices).
- **Corporate & Structural Variants**: **Bluewashing** (claims of heightened social responsibility, often in UN contexts or water industries) and **CSR-washing** (an overarching term for deceptive social responsibility).
- **Emerging Concepts**: Gatti, Conti and Seele's (2025) comprehensive guide catalogues 39 distinct forms, including **blockchainwashing**, **ethicswashing**, **poorwashing** and the critical concept of **greenlash**, societal backlash against environmental claims driven by skepticism.[37]

Blame Shifting, Denial and Doubt: Corporate tactics aimed at diverting attention from corporate/industry responsibility for social and environmental outcomes, for example, by shifting responsibility for "carbon footprints" from corporations to individuals.[38]

The detection of greenwashing remains challenging due to vague definitions, claims spread across multiple documents and the need for specialized expertise for accurate annotation. The lack of comprehensive datasets with positive and negative examples also hinders the training and evaluation of detection models. The role of linguistic complexity in either revealing or concealing greenwash is a subject of ongoing debate.

What changed over time is not just vocabulary but scope. Greenwashing now extends well beyond misleading product claims into image management, ESG reporting and future-facing narratives that are harder to verify and easier to defend. That expansion

[37] Lucia Gatti, Ludovico Giacomo Conti & Peter Seele, *A Comprehensive Guide to Greenwashing Phenomena, Contexts, and Trends: The Mean, Lean Washing Machine* 1–20 (2025).

[38] Toby Miller, *Greenwashing Culture* 45–75 (2017).

matters because it makes the problem less visible, more institutional and more resistant to complaint-based enforcement.

2.2 THEORETICAL FRAMEWORKS FOR UNDERSTANDING GREENWASHING

2.2.1 LEGITIMACY THEORY AND SYMBOLIC MANAGEMENT

Greenwashing often begins as a legitimacy strategy rather than a mere disclosure error.[39] Firms use environmental claims to secure and maintain a social licence to operate in the eyes of stakeholders.[40] The point is not only to describe performance but to appear aligned with public values.[41] Underlying operations may change very little.[42] That is why greenwashing so often relies on symbols, labels, sustainability reports, design choices and public pledges that signal responsibility without proving it.[43]

Bowen's account of symbolic corporate environmentalism sharpens that point. His idea of the "social energy penalty" captures the social cost created when powerful firms manage criticism through symbolic environmental gestures instead of

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[39] Frances Bowen & J. Alberto Aragon-Correa, *Greenwashing in Corporate Environmentalism Research and Practice: The Importance of What We Say and Do*, 27 Org. & Env't 107 (2014).

[40] Lucia Gatti, Peter Seele & Lars Rademacher, *Grey Zone in, Greenwash out. A Review of Greenwashing Research and Implications for the Voluntary-Mandatory Transition of CSR*, 4 Int'l J. Corp. Soc. Resp. 6 (2019).

[41] Alfonso Siano et al., *"More than Words": Expanding the Taxonomy of Greenwashing after the Volkswagen Scandal*, 71 J. Bus. Res. 27 (2017).

[42] Silvia Ruiz-Blanco, Silvia Romero & Belen Fernandez-Feijoo, *Green, Blue or Black, but Washing, What Company Characteristics Determine Greenwashing?*, 24 Env't Dev. & Sustainability 4024 (2022), at 4024.

[43] John W. Meyer & Brian Rowan, *Institutionalized Organizations*, 83 Am. J. Soc. 340 (1977).

substantive reform.[44] Once legitimacy can be purchased through image, deceptive claims become a rational tactic rather than an isolated communicative lapse.[45]

2.2.2 STAKEHOLDER THEORY AND EXTERNAL PRESSURES

Stakeholder theory shows why greenwashing rarely looks the same across contexts. Firms answer not just to shareholders but also to consumers, investors, regulators, NGOs and communities, each with different leverage and expectations.[46] As sustainability pressure rises, firms respond strategically. Sometimes they improve performance. Sometimes they manage perception through greenwashing, or even through brownwashing when they understate real progress to avoid later accusations of hypocrisy.[47]

Audience fragmentation matters because investors, consumers and regulators do not reward the same kinds of claims.[48] The later literature shows that this divergence only intensifies strategic environmental messaging.[49] Firms therefore tailor environmental messaging to the forum that matters most.[50] That helps explain why greenwashing has moved from advertising into ESG reporting and finance.[51]

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[44] Frances Bowen, *After Greenwashing: Symbolic Corporate Environmentalism and Society* 1–40 (2014).

[45] Lucia Gatti, Peter Seele & Lars Rademacher, *Grey Zone in, Greenwash out. A Review of Greenwashing Research and Implications for the Voluntary-Mandatory Transition of CSR*, 4 Int'l J. Corp. Soc. Resp. 6, 6 (2019).

[46] Magali A. Delmas & Vanessa Cuerel Burbano, *The Drivers of Greenwashing*, 54 Cal. Mgmt. Rev. 64 (2011).

[47] Eun-Hee Kim & Thomas P. Lyon, *Greenwash vs. Brownwash: Exaggeration and Undue Modesty in Corporate Sustainability Disclosure*, 26 Org. Sci. 705 (2015).

[48] Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR*, 12 Współczesne Problemy Ekonomiczne 95, 95 (2016).

[49] A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502, 502 (2024).

[50] Neil Crilly, Mikko Zollo & Michael T. Hansen, *The Grammar of Decoupling*, 59 Acad. Mgmt. J. 705 (2016).

[51] A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024).

2.2.3 DECOUPLING THEORY AND THE MECHANISM OF GREENWASHING

Decoupling theory supplies the mechanism. It names the gap between an organisation's espoused environmental commitments and its actual environmental performance.[52] In institutional terms, that gap reflects a separation between formal commitments and operational reality.[53] A company may adopt policies, targets or reports that look credible from the outside while leaving the underlying business largely unchanged.[54]

That gap is maintained through selective disclosure, fuzzy reporting, symbolic design and weak internal practices presented as compliance.[55] Computational approaches to greenwashing detection in text have similarly found that the gap between corporate environmental claims and operational reality is a recurring pattern identifiable even through automated analysis.[56] The theory matters because it explains why greenwashing can survive even inside formal reporting frameworks.[57] The organisation looks compliant while performance stays poor.[58] The Corporate Climate Responsibility Report by New Climate Institute illustrates this effort to test public climate pledges against underlying performance.

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52 Silvia Ruiz-Blanco, Silvia Romero & Belen Fernandez-Feijoo, *Green, Blue or Black, but Washing, What Company Characteristics Determine Greenwashing?*, 24 Env't Dev. & Sustainability 4024 (2022).

53 John W. Meyer & Brian Rowan, *Institutionalized Organizations*, 83 Am. J. Soc. 340 (1977).

54 Antonio J. Mateo-Márquez, José M. González-González & Constancio Zamora-Ramírez, *An International Empirical Study of Greenwashing and Voluntary Carbon Disclosure*, 363 J. Cleaner Prod. 132567 (2022).

55 Christopher Marquis, Michael W. Toffel & Yanhua Bird, *Scrutiny, Norms, and Selective Disclosure: A Global Study of Greenwashing*, 27 Org. Sci. 483 (2016).

56 Tom Calamai et al., *Corporate Greenwashing Detection in Text: A Survey* (Feb. 11, 2025) (unpublished manuscript), https://arxiv.org/abs/2502.07541 (last visited Mar. 14, 2025).

57 Béatrice Parguel, Florence Benoît-Moreau & Fabrice Larceneux, *How Sustainability Ratings Might Deter 'Greenwashing': A Closer Look at Ethical Corporate Communication*, 102 J. Bus. Ethics 15 (2011).

58 Joe Williams, *Greenwashing: Appearance, Illusion and the Future of 'Green' Capitalism*, 18 Geography Compass e12736 (2024).

2.2.4 INSTITUTIONAL THEORY AND THE PRESSURE TO LOOK RESPONSIBLE

Institutional theory explains why greenwashing flourishes under pressure to look compliant. Firms face coercive pressure from law, normative pressure from professional and ESG standards, and mimetic pressure to imitate competitors or industry leaders.[59] When regulation is unclear or weakly standardised, those pressures do not necessarily produce better performance.[60] They can just as easily produce low-cost imitation.[61] Ambiguity and soft law then become cover, which also makes greenwashing harder to detect.[62]

The practical implication is straightforward: if institutions reward appearance more cheaply than substance, greenwashing will persist. Stronger oversight and standardized disclosures matter because they make symbolic compliance harder to maintain.[63] Mandatory reporting, closer supervision and credible penalties serve the same function.[64] Recent methodological work likewise points toward tighter verification and comparability.[65]

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[59] Margherita Macellari et al., *Exploring Bluewashing Practices of Alleged Sustainability Leaders through a Counter-Accounting Analysis*, 86 Env't Impact Assessment Rev. 106489 (2021), at 106489.

[60] Alfonso Siano et al., *"More than Words": Expanding the Taxonomy of Greenwashing after the Volkswagen Scandal*, 71 J. Bus. Res. 27 (2017), at 27.

[61] Magali A. Delmas & Vanessa Cuerel Burbano, *The Drivers of Greenwashing*, 54 Cal. Mgmt. Rev. 64 (2011), at 64.

[62] Francesca Manes-Rossi et al., *Drivers of Integrated Reporting by State-Owned Enterprises in Europe: A Longitudinal Analysis*, 29 Meditari Acct. Res. 586 (2021).

[63] European Sec. & Mkts. Auth. (ESMA), *Guidelines on Funds' Names Using ESG or Sustainability-Related Terms* (May 14, 2024), https://www.esma.europa.eu/sites/default/files/2024-05/ESMA34-1592494306-554_Final_Report_on_Guidelines_on_funds_names.pdf (last visited Jul. 18, 2024).

[64] Lucia Gatti, Peter Seele & Lars Rademacher, *Grey Zone in, Greenwash out. A Review of Greenwashing Research and Implications for the Voluntary-Mandatory Transition of CSR*, 4 Int'l J. Corp. Soc. Resp. 6 (2019), at 6.

[65] Francesca Bernini, Marco Giuliani & Fabio La Rosa, *Measuring Greenwashing: A Systematic Methodological Literature Review*, 33 Bus. Ethics, Env't & Resp. 649 (2024), at 649.

2.3 TYPOLOGY OF GREENWASHING

2.3.1 PRODUCT-LEVEL GREENWASHING

At the product level, greenwashing usually appears in five forms. First, firms make misleading claims about recycled content, recyclability, emissions, or sourcing.[66]

Second, they rely on vague terms such as "eco-friendly", "natural", or "sustainable" without measurable support.[67] Such vague language, often lacking certification, appears on websites, in advertisements and within company reports, confusing consumers. This strategy relies on the absence of clear definitions for green marketing terms, making it difficult for consumers to assess the credibility of corporate claims.[68]

Third, they highlight one positive feature while hiding larger lifecycle harms, which is the classic hidden trade-off problem. Trade-offs get hidden when a marketer suggests a product is "green" based on a narrow set of attributes while distracting consumers from greater environmental impacts elsewhere in the product's life cycle.[69]

Fourth, they use weak, false, or confusing certifications to borrow credibility they have not earned. While eco-labels were initially considered a solution to greenwashing, inadequate regulations have allowed firms to exploit them, creating an appearance of external endorsement without genuine improvements.[70]

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[66] Thomas P. Lyon & A. Wren Montgomery, *The Means and End of Greenwash*, 28 Org. & Env't 223 (2015), at 223.

[67] Priyanka Sharma & Vinod Kumar, *A Study on Consumer's Awareness towards Greenwashing*, 12 Int'l J. Mgmt. Stud. 45 (2024), at 45.

[68] Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR*, 12 Współczesne Problemy Ekonomiczne 95 (2016), at 95.

[69] Menno D.T. de Jong, Gabriel Huluba & Ardion D. Beldad, *Making Green Stuff?*, 32 J. Bus. & Tech. Comm. 77 (2018).

[70] Priyanka Sharma & Vinod Kumar, *A Study on Consumer's Awareness towards Greenwashing*, 12 Int'l J. Mgmt. Stud. 45 (2024).

Fifth, they use colours, images and nature-based packaging to imply environmental benefit without saying much directly.[71] This includes using green or blue colours, images of natural landscapes (like mountains, forests, or oceans), pictures of endangered animals, or sounds of the sea or birds. This also includes irrelevant claims, where firms present legal compliance or trivial attributes as if they were meaningful environmental achievements.[72]

2.3.2 CORPORATE-LEVEL GREENWASHING (ORGANISATIONAL IMAGE MANAGEMENT)

At the corporate level, the primary goal is to appear more environmentally friendly than it actually is.[73] Companies use several strategies to achieve the same, some of them are as follows.

Deflecting Attention: This involves promoting environmentally friendly programmes to deflect attention from an organisation's environmentally unfriendly activities.[74] This acts as a manipulative strategy to enhance sustainability ratings while hiding the core environmental impact of operations.[75] The same pattern also fits broader accounts of symbolic corporate environmentalism.[76]

Disproportionate Spending: Essentially, it means spending more resources (money, time, effort) on marketing products as 'green' rather than genuinely minimising their

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[71] Sebastião Vieira De Freitas Netto et al., *Concepts and Forms of Greenwashing: A Systematic Review*, 32 Env't Sci. Eur. 19 (2020), at 19.

[72] Prachi Bishnoi, *Greenwashing vs. Genuine Sustainability*, The Sustainable Brands J. (Mar. 9, 2024), https://thesustainablebrandsjournal.com/greenwashing-vs-genuine-sustainability (last visited Dec. 27, 2024).

[73] Noémi Nemes et al., *An Integrated Framework to Assess Greenwashing*, 14 Sustainability 4431 (2022).

[74] Christopher Marquis, Michael W. Toffel & Yanhua Bird, *Scrutiny, Norms, and Selective Disclosure: A Global Study of Greenwashing*, 27 Org. Sci. 483 (2016).

[75] Bertrand Kian Hassani & Yacoub Bahini, *Crosswashing in Sustainable Investing: Unveiling Strategic Practices Impacting ESG Scores* (Mar. 21, 2024) (unpublished manuscript), https://arxiv.org/abs/2407.00751 (last visited Jan. 5, 2025).

[76] Frances Bowen & J. Alberto Aragon-Correa, *Greenwashing in Corporate Environmentalism Research and Practice: The Importance of What We Say and Do*, 27 Org. & Env't 107 (2014).

adverse environmental impact. This is part of a broader strategy aimed at achieving a "halo effect", where the positive reception of eco-friendly products or messages enhances the overall perception of the entire organisation.[77]

Cosmetic Changes: This includes modifying corporate visuals like logos, such as General Motors changing its logo from blue to green, to convey a green image.[78] Other examples include breathtaking landscapes or pictures of leaves on packaging that do not reflect actual sustainability practices.[79] Such executional cues can still generate a misleading green halo.[80] Similar image-management tactics through green branding have been observed in urban redevelopment projects marketed through an environmental lens.[81]

Misleading Narratives and Discourse: This involves crafting rhetorical strategies to manipulate audience beliefs about corporate environmental performance.[82] Notable examples include British Petroleum's "beyond petroleum" campaign and Shell's use of a smokestack with flowers sprouting from it, imagery that was ultimately forced to

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77 Menno D.T. de Jong, Gabriel Huluba & Ardion D. Beldad, *Different Shades of Greenwashing*, 34 J. Bus. & Tech. Comm. 38 (2020), at 38.

78 Béatrice Parguel, Florence Benoît-Moreau & Fabrice Larceneux, *How Sustainability Ratings Might Deter 'Greenwashing': A Closer Look at Ethical Corporate Communication*, 102 J. Bus. Ethics 15 (2011).

79 Prachi Bishnoi, *Greenwashing vs. Genuine Sustainability*, The Sustainable Brands J. (Mar. 9, 2024), https://thesustainablebrandsjournal.com/greenwashing-vs-genuine-sustainability (last visited Dec. 27, 2024).

80 Joe Williams, *Greenwashing: Appearance, Illusion and the Future of 'Green' Capitalism*, 18 Geography Compass e12736 (2024).

81 Gertrude Szili & Matthew W. Rofe, *Greening Port Misery: Marketing the Green Face of Waterfront Redevelopment in Port Adelaide, South Australia*, 25 Urb. Pol'y & Res. 363 (2007).

82 Thomas P. Lyon & A. Wren Montgomery, *The Means and End of Greenwash*, 28 Org. & Env't 223 (2015).

be withdrawn.[83] De Freitas Netto's review places such narrative and visual projection squarely within the classic greenwashing repertoire.[84]

Fuzzy Reporting: This involves taking advantage of sustainability reports, which are often one-way communication channels, to twist the truth or project a positive image. Companies use climate disclosure as a tool to mitigate controversies and/or to improve their image.[85] A company is greenwashing if it fails to disclose all relevant information regarding social or environmental performance on an aspect it claims positive impact on, especially if there is a significant negative consequence that is not revealed.

Corporate Political Spin/Lobbying: Organisations engage in greenwashing by boasting of green commitments while simultaneously actively lobbying against pro-environmental laws and regulations.[86] This includes funding organisations that lobby against Paris-aligned goals. This is considered a novel form of greenwashing. If lobbying efforts are not made public, firms can maintain a green image despite deploying vast sums to block public policy. An example is the seven largest U.S. oil and gas companies lobbying to allow drilling in the Arctic National Wildlife Refuge, which directly contradicts their stated commitments to biodiversity protection.[87]

Brownwashing/Greenhushing: Brownwashing specifically describes the deliberate under-reporting of environmental accomplishments. It is also known as "strategic

[83] Priyanka Aggarwal & Aarti Kadyan, *Greenwashing: The Darker Side of CSR*, 4 Int'l J. Advanced Res. 61 (2011).

[84] Sebastião Vieira De Freitas Netto et al., *Concepts and Forms of Greenwashing: A Systematic Review*, 32 Env't Sci. Eur. 19 (2020).

[85] Tom Calamai et al., *Corporate Greenwashing Detection in Text: A Survey* (Feb. 11, 2025) (unpublished manuscript), https://arxiv.org/abs/2502.07541 (last visited Mar. 14, 2025).

[86] A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024), at 502.

[87] Adrah Parafiniuk & Zachary A. Smith, *Green Gilded Oil: How Faux Sustainability by US Oil Companies Is Undermining Neo-Sustainability*, 11 Sustainability 3760 (2019).

silence"[88] or "greenhushing"[89], or simply being "quiet" in the realm of philanthropy and CSR.[90] An example is California wineries downplaying their adoption of organic practices due to the historical stigmatisation of organic wine.[91] This behaviour can be an effort to avoid accusations of hypocrisy and can also alleviate the risk of consumers perceiving incongruence between a company's message and its actual performance.

2.3.3 ESG GREENWASHING (SUSTAINABILITY REPORTING AND FINANCIAL SECTOR)

At the ESG and financial disclosure level, greenwashing moves beyond products and corporate image into sustainability reports, investment vehicles and climate commitments. The mechanisms are subtler but the stakes are higher. Six recurring forms of ESG greenwashing stand out as discussed below.

Crosswashing: Some companies invest selectively in visible sustainable activities to lift ESG scores while leaving core operations unchanged. The aim is not transformation but insulation as improved ratings deflect criticism and protect the underlying business model.

Misleading Disclosures: Misleading Disclosures arise when asset managers and corporations claim ESG-aligned investing or operations while the underlying sustainability profile tells a different story.[92] Claims may assert that a product or practice is environmentally beneficial or less harmful than alternatives, without

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[88] A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024).

[89] Antonio Montero-Navarro et al., *A Bibliometric Analysis of Greenwashing Research: A Closer Look at Agriculture, Food Industry and Food Retail*, 123 Brit. Food J. 547 (2021).

[90] Margherita Macellari et al., *Exploring Bluewashing Practices of Alleged Sustainability Leaders through a Counter-Accounting Analysis*, 86 Env't Impact Assessment Rev. 106489 (2021).

[91] Magali A. Delmas & Vanessa Cuerel Burbano, *The Drivers of Greenwashing*, 54 Cal. Mgmt. Rev. 64 (2011).

[92] European Sec. & Mkts. Auth. (ESMA), *Guidelines on Funds' Names Using ESG or Sustainability-Related Terms* (May 14, 2024), https://www.esma.europa.eu/sites/default/files/2024-05/ESMA34-1592494306-554_Final_Report_on_Guidelines_on_funds_names.pdf (last visited Jul. 18, 2024).

adequate basis.[93] The US SEC has charged advisers, including BNY Mellon and Goldman Sachs Asset Management, for misstatements and omissions about ESG considerations. Inconsistency across documents tailored for different audiences compounds the problem.

Reporting Manipulation: Even where disclosures exist, their content can be manipulated. Reporting Manipulation takes the form of exaggerating green achievements or hiding negative impacts through selective disclosure, emphasising favourable initiatives while withholding adverse details.[94] Some firms use deliberately opaque or "foggier" language to bury bad news[95], or engage in "cheap talk", repeating a single initiative to inflate the volume of climate-related content without matching action.[96] Scope 3 emissions are a particular weak point in sustainability reporting because these value-chain emissions can represent up to 90% of a company's total footprint.[97]

Unsubstantiated Net-Zero Claims: The problem grows worse when claims are pushed further into the future. Unsubstantiated Net-Zero Claims, often termed "futurewashing", involve pledges that lack short-term targets, depend on uncertain offsets rather than real emission cuts and carry no legal force, making them easy to revise or abandon.[98] BP's "Beyond Petroleum" rebranding, backed by negligible clean-energy spending, illustrates the pattern.

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[93] Kristina Frøyland Ommundsen & Karen Eva Jónsdóttir, *Re-Conceptualizing Greenwashing through Media Discourses* (unpublished M.A. thesis, Univ. of Agder, 2024).

[94] Christopher Marquis, Michael W. Toffel & Yanhua Bird, *Scrutiny, Norms, and Selective Disclosure: A Global Study of Greenwashing*, 27 Org. Sci. 483 (2016).

[95] Kristina Frøyland Ommundsen & Karen Eva Jónsdóttir, *Re-Conceptualizing Greenwashing through Media Discourses* (unpublished M.A. thesis, Univ. of Agder, 2024).

[96] Tom Calamai et al., *Corporate Greenwashing Detection in Text: A Survey* (Feb. 11, 2025) (unpublished manuscript), https://arxiv.org/abs/2502.07541 (last visited Mar. 14, 2025).

[97] Zero Carbon Analytics, *How to Spot Greenwashing in a Sustainability Report: A Guide to Spotting False Environmental Claims*, Zero Carbon Analytics, https://zerocarbon-analytics.org/archives/netzero/how-to-spot-greenwashing-in-a-sustainability-report (last visited Jun. 10, 2024).

[98] A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024).

"Aggregate Confusion": Compounding all of the above is the state of "Aggregate Confusion". Due to proliferation of ESG greenwashing, it becomes difficult for stakeholders to distinguish genuine sustainability from noise.[99] Different rating agencies frequently produce divergent assessments of the same firm.[100] Even credible certifications, such as LEED, B Corps, or ISO 14001, can lend symbolic cover without ensuring real improvement. Without an agreed definition of sustainable investing, measuring the extent of greenwashing remains difficult in the hedge fund or mutual fund space.[101]

Jargon and Ambiguity: Finally, much ESG greenwashing is sustained by Jargon and Ambiguity.[102] Terms like "natural", "eco-friendly", or "sustainably sourced" appear routinely in corporate communications without measurable content. Examples include, Shell's smokestack with sprouting flowers.[103]

2.4 CONSEQUENCES OF GREENWASHING

The consequences extend beyond consumer deception. Greenwashing affects environmental outcomes, market allocation and trust in sustainability itself.[104]

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[99] Thomas P. Lyon & A. Wren Montgomery, *The Means and End of Greenwash*, 28 Org. & Env't 223 (2015).

[100] A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024).

[101] Thomas P. Lyon & John W. Maxwell, *Greenwash: Corporate Environmental Disclosure*, 20 J. Econ. & Mgmt. Strategy 3 (2011).

[102] Bertrand Kian Hassani & Yacoub Bahini, *Crosswashing in Sustainable Investing: Unveiling Strategic Practices Impacting ESG Scores* (Mar. 21, 2024) (unpublished manuscript), https://arxiv.org/abs/2407.00751 (last visited Jan. 5, 2025).

[103] Joe Williams, *Greenwashing: Appearance, Illusion and the Future of 'Green' Capitalism*, 18 Geography Compass e12736 (2024).

[104] *See* TerraChoice, *The Sins of Greenwashing: Home and Family Edition* 1–5 (2010); *see also* European Commission, *Environmental Claims in the EU: Inventory and Reliability Assessment* 7–12 (2020), https://op.europa.eu/en/publication-detail/-/publication/f7c4cb8b-f877-11ee-a251-01aa75ed71a1/language-en (last visited Jan. 18, 2024); *see also* Kantar, *Who Cares, Who Does? Sustainability Attitudes and Actions Around the World* 18 (2024).

2.4.1 ENVIRONMENTAL AND SOCIETAL HARM

Greenwashing harms the environment by delaying real change. It makes weak responses look adequate, channels attention toward symbolic fixes and reduces pressure on firms to improve actual performance. In that sense, it is a distortion of public understanding as much as a distortion of conduct.

Its political effects are also serious. Misleading environmental narratives can slow regulation, normalize inadequate targets and keep carbon-intensive business models alive under a language of transition. Greenhushing creates a different problem, but it also reduces transparency and weakens accountability.

2.4.2 ECONOMIC AND MARKET DISTORTIONS

Greenwashing distorts markets by rewarding appearance over performance. When companies make false or exaggerated environmental claims, consumers find it harder to identify genuinely sustainable products and may end up rewarding firms that only look green. Once people realise they have been misled, trust falls, purchase intention declines and even genuinely sustainable products may be viewed with suspicion.[105] The problem becomes sharper where eco-labelled goods are expanding faster than consumer awareness or reliable verification.[106]

The same distortion appears in finance. ESG investing depends on credible information, but greenwashing can mislead investors, divert capital and undermine trust in sustainable finance.[107] Even where ESG-labelled funds attract investment, this has not consistently improved the actual ESG performance of firms and exposure of

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[105] Gergely Nyilasy, Harsha Gangadharbatla & Angela Paladino, *Perceived Greenwashing: The Interactive Effects of Green Advertising and Corporate Environmental Performance on Consumer Reactions*, 125 J. Bus. Ethics 693 (2014).

[106] Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR*, 12 Współczesne Problemy Ekonomiczne 95, 95 (2016).

[107] Quinson et al., *Regulators intensify ESG scrutiny as greenwashing explodes* (2024), https://www.bloomberg.com/news/articles/2021-09-01/regulatory-scrutiny-of-esg-greenwashing-is-intensifying (last visited Jan. 25, 2025).

greenwashing can reduce shareholder value.[108] The problem has grown within a relatively weak regulatory landscape, where asset managers and regulators often struggle to verify claims.[109] That weakness is especially serious because large-scale green investment depends on accurate climate information.[110] For corporations, the consequences are practical as well as legal: reputational harm, weaker financial performance, penalties and later costs of rebranding or corrective compliance may follow once the gap between claims and conduct is exposed.[111]

2.4.3 EROSION OF TRUST AND LEGITIMACY

Greenwashing corrodes trust inside and outside the firm. Employees may see a gap between corporate language and corporate conduct, while consumers and investors become sceptical of green claims generally. Once that scepticism spreads, even genuine claims lose force.

At a system level, this is especially damaging. Sustainability labels, disclosures and ESG tools depend on credibility. If that credibility collapses, honest firms are penalised together with dishonest ones. This is one reason why stronger verification and enforcement matter.

2.5 EVIDENCE OF IMPACT OF GREENWASHING FROM SECONDARY DATA

The theoretical and doctrinal consequences described above are not merely hypothetical. Empirical and industry data from both India and international markets confirm that greenwashing produces measurable harm to investors, markets, consumers and regulatory ecosystems. This section presents secondary data evidence

[108] Francesca Bernini & Fabio La Rosa, *Research in the Greenwashing Field: Concepts, Theories, and Potential Impacts on Economic and Social Value*, 28 J. Mgmt. & Governance 405 (2024), at 405.

[109] Thomas P. Lyon & John W. Maxwell, *Greenwash: Corporate Environmental Disclosure*, 20 J. Econ. & Mgmt. Strategy 3, 3 (2011).

[110] Hubert Kubiak, *The Phenomenon of Greenwashing in Marketing Communication of CSR*, 12 Współczesne Problemy Ekonomiczne 95, 95 (2016).

[111] Wei Li et al., *Effects of Greenwashing on Financial Performance: Moderation Through Local Environmental Regulation and Media Coverage*, 32 Bus. Strategy & Env't 2890 (2023).

organised by geography, with particular attention to the investor and market dimensions in India, where the rapid growth of ESG-labelled products has outpaced the verification infrastructure needed to protect market participants.

2.5.1 INDIA

A. Impact on Investors and Markets

India's ESG investing market is expanding rapidly. ESG fund assets under management reached approximately US$ 1,176.6 million by March 2024, up from US$ 331.4 million in January 2020 and the market is projected to grow at a compound annual growth rate of 23.3% through 2030.[112] Yet this growth has outpaced the verification infrastructure. SEBI has responded by expanding the regulatory framework, requiring the top 1,000 listed companies to file Business Responsibility and Sustainability Reports and mandating that ESG mutual funds invest at least 65% of AUM in companies providing comprehensive BRSR disclosures with assurance on BRSR Core indicators from October 2024.[113]

SEBI had also signalled clear concerns regarding greenwashing in its February 2023 *Consultation Paper on ESG Disclosures, Ratings and Investing*, which addressed greenwashing risk at both the investee-company and fund-scheme level. The paper noted that ESG-labelled schemes often rely on heterogeneous ESG ratings and narrative disclosures, allowing funds to be marketed as "ESG" even where underlying holdings or investment processes are not consistently sustainable. It therefore proposed several measures framed as greenwashing-mitigation tools, including mandatory assurance of BRSR Core disclosures for the top 250 listed companies, a requirement that ESG rating providers base ratings on assured or verified data and

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[112] India Brand Equity Foundation (IBEF), *India's ESG Landscape: Growth, Trends, and Regulatory Framework* (2024), https://www.ibef.org (last visited Jan. 27, 2024); *see also* Grand View Research, *India ESG Investing Market Size, Share & Trends Analysis Report* (2024), https://www.grandviewresearch.com (last visited Jan. 27, 2025).

[113] SEBI, Circular on Enhanced Disclosure Norms for ESG Mutual Fund Schemes, Circular No. SEBI/HO/IMD/IMD-I DOF5/P/CIR/2023/136 (July 4, 2023); *see also* ESG Today, *Indian Regulator SEBI Expands Scope of ESG Fund Strategies* (2024), https://www.esgtoday.com (last visited Jan. 30, 2025).

scheme-level safeguards such as clearer ESG categories, minimum ESG allocation thresholds and enhanced disclosure of ESG strategy and stewardship practices.[114]

Industry surveys suggest significant investor scepticism: secondary reporting on a 2024 PwC India survey states that 68% of institutional investors in India question the credibility of corporate ESG claims.[115] A 2022 CRISIL analysis of 586 Indian companies found that only 20% scored in the 'strong' or 'leadership' ESG categories, with nearly 80% rated 'weak', 'below average', or 'adequate'.[116] The gap between market expansion and verification capacity creates particular risks for Indian investors: capital may flow toward firms whose ESG credentials are overstated rather than substantiated.

Research by the Reserve Bank of India, published in its February 2023 Bulletin, analysed MSCI ESG indices across 18 economies and found that Indian domestic firms with an ESG focus outperformed global peers in terms of price volatility and equity returns, with compounded annual returns by India's ESG leaders more than 4 percentage points higher than predicted by the market model.[117] This finding cuts two ways. It demonstrates the financial materiality of ESG performance in India, which means that any greenwashing that distorts ESG perceptions has direct pricing consequences. If investors reward ESG leadership through a measurable return premium, then misleading ESG claims effectively extract an unearned premium from markets.

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114 SEBI, *Consultation Paper on ESG Disclosures, Ratings and Investing* (Feb. 20, 2023), https://www.sebi.gov.in/reports-and-statistics/reports/feb-2023/consultation-paper-on-esg-disclosures-ratings-and-investing_68193.html (last visited Feb. 9, 2024).

115 PwC India, *Institutional Investor Survey on ESG Credibility* (2024) (reportedly finding that 68% of institutional investors in India questioned the credibility of corporate ESG claims; primary report not publicly available; statistic cited in *The Amikus Qriae* and other secondary sources).

116 CRISIL Research, *ESG Compendium: India Inc's ESG Scorecard* (2022) (analysing 586 Indian companies and finding that only 20% scored in the 'strong' or 'leadership' ESG categories, with nearly 80% rated 'weak', 'below average', or 'adequate'); *see also* OneStopESG, *CRISIL ESG Analysis of Indian Companies* (2022), https://www.onestopesg.com (last visited Feb. 12, 2023).

117 Reserve Bank of India, *ESG Investing and Stock Returns: A Cross-Country Study*, RBI Bulletin (Feb. 2023), https://www.rbi.org.in (last visited Mar. 15, 2023); *see also* Outlook Business, *India's ESG Leaders Outperform Global Peers: RBI Study*, Outlook Bus. (Feb. 2023), https://www.outlookbusiness.com (last visited Mar. 15, 2024).

India's sustainable debt market has also grown sharply. The Climate Bonds Initiative's *India Sustainable Debt State of the Market 2024* report, published in collaboration with MUFG Bank, found that India's cumulative aligned green, social, sustainability and sustainability-linked (GSS+) debt reached US$ 55.9 billion by December 2024, a 186% increase since 2021, with green bonds accounting for 83% of total aligned issuance.[118] India is now the fourth-largest emerging market source of GSS+ debt globally after China, South Korea and Chile.[119] The scale of this market underscores why verification matters: without adequate infrastructure to ensure the environmental integrity of labelled instruments, the credibility of India's entire green finance ecosystem is at risk.

More recent peer-reviewed research on ESG disclosures of NIFTY 50 companies found that 47% of sampled firms exhibited greenwashing characteristics, again with manufacturing and energy companies especially represented.[120] Earlier research similarly found that 54% of 48 sampled firms engaged in greenwashing, with manufacturing and energy sectors particularly susceptible.[121] Taken together, these studies suggest that misleading environmental signalling is not isolated to a few outliers, but appears as a recurring pattern among major listed Indian firms.

Indian M&A transactions with strong ESG credentials are now commanding a premium of 10 to 15% compared to deals without ESG integration.[122] This ESG

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[118] Climate Bonds Initiative & MUFG Bank, *India Sustainable Debt State of the Market 2024* (2024), https://www.climatebonds.net (last visited Feb. 25, 2025); *see also* Banking Frontiers, *India's GSS+ Debt Market Grows 186% Since 2021: CBI Report* (2024), https://www.bankingfrontiers.com (last visited Feb. 25, 2025).

[119] Climate Bonds Initiative & MUFG Bank, *India Sustainable Debt State of the Market 2024* (2024), https://www.climatebonds.net (last visited Feb. 25, 2025).

[120] Mithilesh Gidage, Shilpa Bhide & Deep Joshi, *Greenwashing in the Indian Corporate Landscape: An Empirical Assessment of ESG Disclosures of NIFTY 50 Companies*, 27 Env't Dev. & Sustainability 21861 (2024), https://doi.org/10.1007/s10668-024-05191-3.

[121] Sushobhan Sensharma, Manish Sinha & Dipasha Sharma, *Do Indian Firms Engage in Greenwashing? Evidence from Indian Firms*, 16 Australasian Acct. Bus. & Fin. J. 67 (2022).

[122] Equirus Capital, *ESG Premium in Indian M&A Transactions* (2025), https://www.equirus.com (last visited Jan. 4, 2025) (reporting that Indian M&A transactions with strong ESG credentials commanded a premium of 10–15% compared to deals without ESG integration).

premium in deal-making creates a direct financial incentive for greenwashing: firms that project unsubstantiated ESG credentials may secure inflated valuations, transferring wealth from acquirers who rely on those representations.

Analysis of BRSR disclosures also reveals widespread net-zero commitments without corresponding verified decarbonisation pathways. India's 2070 net-zero timeline creates particular opportunities for "promissory greenwashing" or "futurewashing", since commitments are pitched so far into the future that immediate verification is nearly impossible.[123]

B. Consumer and Regulatory Impact

At the consumer level, empirical evidence confirms that greenwashing is widespread in Indian markets and that enforcement has treated it as systemic rather than isolated.

1. *ASCI Monitoring Data:* In its 2024-25 Annual Complaints Report, ASCI reported investigating 211 advertisements for potentially making false or exaggerated environmental claims and found that 100% of these advertisements required modification as they lacked the evidence to back up their green claims.[124]

2. *Regulatory Enforcement Actions:*[125]

    - HUL Surf Excel Easy Wash — 2011 MoEF/CPCB action for false "100% natural" / "environment-friendly" claims.

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[123] *See* Divyanshu Sharma, *Green Promises and Broken Trust: Evaluating India's BRSR Framework*, 5 Int'l J. L. Mgmt. & Human. 1523, 1530–32 (2022); *see also* A. Wren Montgomery, Thomas P. Lyon & Julian Barg, *No End in Sight? A Greenwash Review and Research Agenda*, 37 Org. & Env't 502 (2024) (discussing "Greenwashing 3.0" and futurewashing).

[124] Advert. Standards Council of India, *Annual Complaints Report 2024-25* (2024), https://www.ascionline.in/wp-content/uploads/2025/05/Digital-ASCI-Annual-Complaints-Report-2024-2025.pdf (last visited Dec. 3, 2025).

[125] Institute of Company Secretaries of India (ICSI), *Green to Greed: Unravelling Corporate Deception* (2024), https://www.icsi.edu/media/webmodules/CSJ/April_24/23.pdf (last visited Sep. 10, 2025); *see also* endnotes 187–189, *infra*.

- o Voltas AC — 2013 campaign cited as a misleading "green" marketing example in ICSI's analysis of corporate deception.
- o Godrej "100% natural / eco-friendly" soap — ASCI investigation and order to withdraw/modify advertisements.

3. *Fake Environmental Certificates:* In 2024, the National Green Tribunal (NGT) took suo motu cognisance of media reports that the Central Pollution Control Board (CPCB) had unearthed approximately 600,000 fake Extended Producer Responsibility (EPR) certificates issued by four plastic-recycling companies in Gujarat, Maharashtra and Karnataka.[126] The scale of this fraud illustrates that the verification deficit extends beyond marketing claims into the operational infrastructure of environmental compliance itself.

2.5.2 ABROAD

A. Global Investor Sentiment

The most striking demand-side evidence comes from EY's *2024 Institutional Investor Survey*, based on responses from 350 investment decision-makers globally. The survey found that 85% of institutional investors perceive greenwashing as a greater problem now than five years ago.[127] At the same time, 88% of investors reported an increased use of ESG information in the past year, yet only 25% felt fully capable of assessing the long-term impacts of ESG policies.[128] This combination, high reliance on ESG data coupled with deep scepticism about its reliability, provides a strong demand-side justification for regulatory tightening. When the very investors whom ESG disclosures are meant to serve express doubt about their credibility, the case for

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[126] *NGT Issues Notice to CPCB, MoEFCC Over Recovery of 6 Lakh Fake EPR Certificates*, SCC Online Blog (July 31, 2024), https://blog.scconline.gen.in/post/2024/07/31/ngt-issues-notice-cpcb-moefcc-recovery-of-6-lakh-fake-epr-certificates-from-plastic-recycling-companies (last visited Dec. 7, 2024).

[127] EY, *2024 EY Institutional Investor Survey: The Disconnect Between Investor Confidence and Sustainable Finance Capabilities* (2024), https://www.ey.com (last visited Mar. 13, 2024); *see also* ESG News, *85% of Investors Say Greenwashing Is a Greater Problem Now Than Five Years Ago: EY Survey* (2024), https://esgnews.com (last visited Mar. 13, 2024).

[128] EY, *2024 EY Institutional Investor Survey: The Disconnect Between Investor Confidence and Sustainable Finance Capabilities* (2024), https://www.ey.com (last visited Mar. 13, 2024).

mandatory verification and governance-level accountability becomes difficult to resist.

The corporate side mirrors this concern. EY's *2024 Global Corporate Reporting Survey* found that 55% of finance leaders acknowledged that sustainability reporting in their industry risks being perceived as containing elements of greenwashing.[129] The acknowledgement from within the reporting community itself is noteworthy: if a majority of those preparing sustainability reports concede the risk of greenwashing perception, the problem is not confined to a few bad actors but reflects structural weakness in reporting frameworks.

B. United States: Capital Flight from Sustainable Funds

The United States provides the clearest quantitative evidence of how greenwashing concerns translate into capital flight. Morningstar's *Global Sustainable Fund Flows* data for 2024 reported US$ 19.6 billion in full-year outflows from US sustainable open-end funds and exchange-traded funds, an acceleration from US$ 13.3 billion in outflows during 2023.[130] By the end of Q4 2024, US sustainable funds had experienced nine consecutive quarters of net withdrawals.[131] The US sustainable fund universe ended 2024 with US$ 344 billion in assets, but its share of global sustainable fund assets fell from 15% in 2018 to 11%.[132]

The factors driving these outflows include political scrutiny, concerns about greenwashing and credibility doubts about the environmental integrity of fund

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[129] EY, *2024 EY Global Corporate Reporting Survey* (2024), https://www.ey.com (last visited Mar. 19, 2024) (reporting that 55% of finance leaders acknowledged sustainability reporting in their industry risks being perceived as containing elements of greenwashing).

[130] Morningstar, *Global Sustainable Fund Flows: Q4 2024 in Review* (Jan. 2025), https://www.morningstar.com (last visited Jun. 22, 2025); *see also* ESG Today, *US Sustainable Funds Post $19.6 Billion in Outflows for 2024, Up from $13.3B in 2023: Morningstar* (Jan. 2025), https://www.esgtoday.com (last visited Jun. 22, 2025).

[131] Morningstar, *Global Sustainable Fund Flows: Q4 2024 in Review* (Jan. 2025), https://www.morningstar.com (last visited Jun. 22, 2025) (reporting nine consecutive quarters of net withdrawals from US sustainable funds by end of Q4 2024).

[132] Morningstar, *Global Sustainable Fund Flows: Q4 2024 in Review* (Jan. 2025), https://www.morningstar.com (last visited Jun. 22, 2025) (reporting nine consecutive quarters of net withdrawals from US sustainable funds by end of Q4 2024).

labelling.[133] This data contextualises the broader US regulatory uncertainty. The SEC's climate disclosure rule, adopted in March 2024, was stayed pending judicial review and subsequently abandoned by the Commission in 2025. In that regulatory vacuum, tangible market consequences have materialised: investors are voting with their capital against sustainable fund products whose credibility they doubt.

The contrast with Europe is instructive. European sustainable funds more than doubled their net inflows to US$ 18.5 billion in Q4 2024 alone, driven partly by the stronger regulatory and verification framework under the EU's Sustainable Finance Disclosure Regulation and the forthcoming Corporate Sustainability Reporting Directive.[134] This divergence suggests that credible regulatory frameworks can sustain investor confidence, while their absence accelerates capital withdrawal.

C. Implications for India

The international evidence carries particular relevance for India. India's ESG market is at an earlier stage of development than those in the US or Europe, which means there is still an opportunity to build credibility infrastructure before greenwashing erodes investor confidence. However, the window is narrowing. If India's ESG disclosure and verification frameworks remain incomplete as the market scales, as the US experience demonstrates, capital may migrate away from ESG-labelled products or, worse, remain but be misallocated to firms whose environmental credentials are overstated. The evidence presented in this section therefore strengthens the thesis that reactive consumer protection measures are insufficient: what is needed is a governance-level framework that ensures the integrity of environmental claims before they reach the market.

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[133] Morningstar, *Global Sustainable Fund Flows: Q4 2024 in Review* (Jan. 2025), https://www.morningstar.com (last visited Jun. 22, 2025) (reporting nine consecutive quarters of net withdrawals from US sustainable funds by end of Q4 2024); *see also* Portfolio Adviser, *US Sustainable Funds Post Record Redemptions* (Apr. 2024), https://www.portfolio-adviser.com (last visited Jun. 28, 2025).

[134] Morningstar, *Global Sustainable Fund Flows: Q4 2024 in Review* (Jan. 2025), https://www.morningstar.com (last visited Jun. 22, 2025) (reporting European sustainable fund net inflows of US$ 18.5 billion in Q4 2024); *see also* Investment Week, *Global Sustainable Fund Flows Rebound in Q4 2024* (Jan. 2025), https://www.investmentweek.co.uk (last visited Jun. 28, 2025).

2.6 THE CASE FOR CORPORATE GOVERNANCE INTERVENTION

The consequences of greenwashing identified above share a common characteristic: they are not remediable through complaint-driven enforcement targeting individual misleading claims. These consequences include environmental harm, market distortion, investor deception and erosion of trust. This observation raises a doctrinal question: if existing law addresses greenwashing, why does it persist at such scale? The answer lies in examining not only what the law prohibits, but also what it fails to require. This section analyses Indian consumer protection law as the primary legal framework currently applicable to greenwashing, identifies its structural limitations and establishes the doctrinal basis for corporate governance intervention.

2.6.1 THE CONSUMER PROTECTION ACT, 2019

In India, the Consumer Protection Act, 2019 (CPA) constitutes the principal statutory mechanism for addressing greenwashing, among other evolving mechanisms. The Act establishes two definitional anchors relevant to environmental misrepresentation:

Section 2(28): Misleading Advertisement. A "misleading advertisement" is defined as an advertisement which: (i) falsely describes a product or service; (ii) gives a false guarantee or is likely to mislead consumers as to the nature, substance, quantity, or quality of such product or service; (iii) conveys an express or implied representation which would constitute an unfair trade practice; or (iv) deliberately conceals important information. [135] Environmental claims that exaggerate benefits, omit material limitations, or create false impressions of sustainability fall squarely within this definition.

Section 2(47): Unfair Trade Practice. An "unfair trade practice" encompasses any practice which, for promoting the sale or supply of goods or services, adopts unfair or deceptive methods. This includes false representations about the standard, quality, grade, or composition of goods, language that can capture misleading assertions about

[135] Consumer Protection Act, 2019, No. 35, Acts of Parliament, § 2(28) (India).

environmental attributes such as “carbon neutral”, “eco-friendly”, or “100% natural”.[136]

Institutional Framework. Section 10 establishes the Central Consumer Protection Authority (CCPA) with powers under Sections 18 and 21 to investigate unfair trade practices and misleading advertisements, issue directions for discontinuance, impose penalties and prohibit endorsers from making endorsements. The Act also establishes consumer dispute redressal commissions at district, state and national levels to adjudicate individual consumer complaints.[137]

Penalties. The CPA imposes penalties of up to ₹10 lakh for first-time offenders engaging in misleading advertisements, escalating to ₹50 lakh for repeat contraventions.[138] Imprisonment of up to two years (extendable to five years for repeat offences) may also be imposed. Endorsers may be prohibited from making endorsements for up to one year, extendable to three years.

2.6.2 CCPA GUIDELINES FOR PREVENTION AND REGULATION OF GREENWASHING, 2024

Recognising the specific challenge posed by environmental misrepresentation, the CCPA notified the “Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims, 2024” on 15 October 2024.[139] These Guidelines represent India’s first dedicated regulatory instrument targeting greenwashing.

Definition. The Guidelines define greenwashing as “any deceptive or misleading practice” involving: (i) concealing, omitting, or hiding relevant information; (ii) exaggerating, making vague, false, or unsubstantiated environmental claims; or (iii)

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[136] Consumer Protection Act, 2019, No. 35, Acts of Parliament, § 2(47) (India).

[137] Consumer Protection Act, 2019, No. 35, Acts of Parliament, §§ 10, 18, 21, ch. IV (India).

[138] Consumer Protection Act, 2019, No. 35, Acts of Parliament, §§ 21, 89 (India).

[139] Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India).

using misleading words, symbols, or imagery that emphasise positive environmental aspects while downplaying harmful attributes.[140]

Substantiation Requirements. The Guidelines impose affirmative obligations on advertisers:

- Generic environmental terms such as “eco-friendly”, “green”, “clean”, “sustainable”, “carbon neutral”, “natural”, or “organic” may only be used with “verifiable evidence” and “adequate qualifiers”.[141]

- Specific claims such as “compostable”, “recyclable”, “non-toxic”, or “plastic-free” require support from “reliable scientific evidence, certifications, or third-party verification”.

- Technical terms must be explained in language accessible to ordinary consumers.

- Material information supporting environmental claims must be disclosed directly or through accessible means such as QR codes or URLs.

- Aspirational or futuristic environmental claims are permitted only if backed by “clear, actionable plans” detailing implementation.[142]

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[140] Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India) (defining greenwashing to include concealment or omission of material information, vague or unsubstantiated claims, and misleading words, symbols, or imagery).

[141] Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India) (requiring generic environmental claims such as “green,” “eco-friendly,” or “carbon neutral” to be backed by verifiable evidence and adequate qualifiers).

[142] Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India) (permitting aspirational environmental claims only where they are supported by clear, actionable plans for implementation).

Scope. The Guidelines apply to manufacturers, service providers, advertisers, advertising agencies and endorsers, thereby extending beyond the immediate seller to the entire advertising chain.

Enforcement. Non-compliance attracts penalties under the CPA framework, with the CCPA empowered to take suo motu action without requiring individual consumer complaints.

2.6.3 STRUCTURAL LIMITATIONS: A DOCTRINAL ANALYSIS

While the CPA and CCPA Guidelines represent significant progress, doctrinal analysis reveals structural limitations that render this framework insufficient as a standalone response to greenwashing.

Limitation 1: Reactive, Complaint-Driven Architecture. The CPA's enforcement architecture is designed around individual complaints leading to case-by-case adjudication. The consumer commissions operate on a complaint-adjudication-remedy model. Even where the CCPA can act suo motu under Section 18, its intervention occurs after misleading claims have entered the market and achieved their commercial objective. This temporal gap between deception and sanction undermines preventive potential. The statutory design addresses claims already made rather than requiring corporations to establish internal systems that prevent misleading claims from being generated.[143]

Limitation 2: Transactional Conception of Harm. Section 2(47)'s definition of unfair trade practice focuses on false representations about the "standard, quality, quantity, grade, composition, style or model" of goods. This language is directed at the accuracy of claims in individual transactions rather than at organisational conditions producing systematic misrepresentation. Consumer law conceptualises greenwashing as a harm to individual purchasers rather than as a systemic governance failure with

[143] Consumer Protection Act, 2019, No. 35, Acts of Parliament, chs. III-IV (India); Organisation for Economic Co-operation and Development, *OECD Regulatory Policy Outlook 2025* (2025), https://www.oecd.org/en/publications/oecd-regulatory-policy-outlook-2025_4bdf1514-en.html (last visited Jan. 31, 2026) (contrasting reactive enforcement with proactive, risk-based supervision).

environmental, economic and societal repercussions. This conceptual framing constrains the law's capacity to address root causes.[144]

Limitation 3: Evidentiary and Burden of Proof Challenges. Proving greenwashing under consumer law presents formidable difficulties. In practice, the initial burden of challenging misleading claims falls on complainants and regulators, creating asymmetries that sophisticated corporate actors can exploit. Regulators struggle to access internal corporate information necessary to substantiate or refute environmental claims. Consumers cannot readily verify claims about carbon footprints, supply chain sustainability, or lifecycle impacts. They lack the technical expertise and information access that corporations possess.[145]

Limitation 4: Guidelines Without Governance Obligations. The CCPA Guidelines, while imposing substantiation requirements, do not mandate internal corporate mechanisms for verification. They prescribe what environmental claims must demonstrate (scientific evidence, third-party certification, accessible disclosure) but not what internal governance processes must exist to ensure such demonstration. No obligation is imposed on boards to establish verification systems, on audit committees to provide assurance over sustainability claims, or on directors to certify the accuracy of environmental representations. The Guidelines regulate the output (the claim) without addressing the organisational conditions that produce it.

Limitation 5: The Puffery Exception. The CCPA Guidelines explicitly permit "obvious hyperboles" or "puffery" in advertising, provided they do not deceive consumers.[146] This carve-out creates interpretive ambiguity for environmental claims,

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[144] Consumer Protection Act, 2019, No. 35, Acts of Parliament, § 2(47) (India); Sanya Darakhshan Kishwar, Vasatika Saraswat & Roshni Agarwal, *Exploring the True Shade of Green: A Critical Examination of the Central Consumer Protection Authority's Guidelines on Corporate Greenwashing*, 12 Int'l J. Consumer L. & Prac. Art. 3 (2024).

[145] European Commission, *Environmental Claims in the EU: Inventory and Reliability Assessment* 7–12 (2020), https://op.europa.eu/en/publication-detail/-/publication/f7c4cb8b-f877-11ee-a251-01aa75ed71a1/language-en (last visited Mar. 14, 2024); Tom Calamai et al., *Corporate Greenwashing Detection in Text: A Survey* (Feb. 11, 2025) (unpublished manuscript), https://arxiv.org/abs/2502.07541 (last visited Jun. 14, 2025).

[146] Cent. Consumer Prot. Auth., *Guidelines for Prevention and Regulation of Greenwashing or Misleading Environmental Claims*, Notification No. F. No.-CCPA/28/2023-CCPA (Oct. 15, 2024) (India) (excluding "obvious hyperboles or puffery" from the definition of greenwashing); Sanya

which often operate at the boundary between promotional enthusiasm and factual assertion. Terms like "committed to a sustainable future" may be characterised as aspirational puffery rather than actionable misrepresentation, thereby escaping scrutiny.

Limitation 6: No Director or Board-Level Accountability. The CPA framework imposes penalties on manufacturers, advertisers and endorsers, but creates no specific liability for directors, audit committees, or boards for failures in oversight. A corporation may pay fines under Section 18 without any consequence for the governance failures that produced the misleading claims. This insulates decision-makers from accountability and fails to create incentives for board-level attention to sustainability claim integrity.

2.6.4 GREENWASHING AS CORPORATE GOVERNANCE FAILURE

The limitations identified above reveal a regulatory gap. Consumer protection law treats greenwashing as a marketing malpractice, a problem of inaccurate claims reaching consumers. But the patterns described in Sections 2.2 and 2.3 point to something deeper. Greenwashing is often a governance failure: environmental rhetoric is decoupled from environmental performance because board oversight is thin, verification mechanisms are weak and management incentives still reward appearance over accuracy. That distinction matters. Stronger consumer law could improve detection and sanctions, but it would still remain structurally reactive. It would answer claims already made rather than requiring corporations to prevent those claims from being generated. Corporate governance intervention works closer to the source. The question becomes not only whether a claim was accurate, but whether the board built systems capable of ensuring accuracy in the first place.

Reconceptualising greenwashing through a governance lens reveals why corporate law mechanisms are necessary:

Darakhshan Kishwar, Vasatika Saraswat & Roshni Agarwal, *Exploring the True Shade of Green: A Critical Examination of the Central Consumer Protection Authority's Guidelines on Corporate Greenwashing*, 12 Int'l J. Consumer L. & Prac. Art. 3 (2024).

The Decoupling Problem. Decoupling theory (Section 2.2.3) describes the gap between organisations' espoused environmental commitments and their actual performance. This gap is fundamentally a governance failure in the following way: boards approve environmental policies that are not genuinely implemented, ESG disclosures are prepared without rigorous verification and accountability mechanisms fail to ensure alignment between rhetoric and action. When this decoupling is communicated externally as genuine environmental performance, greenwashing occurs.

Governance Mechanisms Already Exist. As Chapter 5 explores in detail, the Indian corporate governance framework already contains underdeveloped but potentially relevant tools for addressing greenwashing.

Multi-Stakeholder Harm. Consumer law conceptualises harm narrowly, as deception of consumers. But greenwashing harms investors, employees, communities and markets as well. That wider pattern of harm cannot be addressed by consumer law alone; it requires governance-level accountability.

Addressing greenwashing through corporate law offers structural advantages:

Preventive Orientation. Corporate governance mechanisms operate ex ante, requiring boards to establish verification systems before environmental claims are made, rather than relying on ex post consumer complaints.

Systemic Scope. Governance mechanisms address root causes, the organisational decisions and internal processes that produce environmental misrepresentation, rather than merely the symptoms visible in consumer-facing communications.

Board-Level Accountability. Director duties create personal accountability for governance failures, aligning individual incentives with genuine environmental performance.

Disclosure Integrity. Disclosure-related internal controls provide mechanisms for ensuring environmental claims meet standards of verifiability and are backed by audit committee oversight.

The broader Indian regulatory ecosystem addressing greenwashing is discussed in Chapter 5.

2.6.5 THE DOCTRINAL FRAMEWORK FOR UPCOMING ANALYSIS

This chapter establishes why greenwashing cannot be analysed only as misleading advertising; it must also be examined through corporate governance and corporate accountability. The next chapters therefore use four terms with distinct doctrinal functions:

(i) *Liability*, the legal exposure of the corporation and its directors to sanctions for environmental misrepresentation;

(ii) *Responsibility*, the allocation of duties to specific corporate organs (the board, audit committees, individual directors) to prevent greenwashing through oversight and verification;

(iii) *Answerability*, the obligation to explain and justify corporate environmental claims to stakeholders, shareholders and regulators through disclosure frameworks; and

(iv) *Enforceability*, the existence of institutional mechanisms capable of investigating, adjudicating and sanctioning non-compliance.

2.7 CONCLUSION

Greenwashing thrives in the space between appearance and performance. That is the central lesson of this chapter.

No single legal definition governs every jurisdiction, yet the pattern is clear: corporations inflate environmental virtue through vague language, selective disclosure, borrowed legitimacy and future-facing promises that outrun present conduct. The practice no longer sits only in packaging and advertising. It now runs through sustainability reports, ESG disclosures and transition narratives.

Why does it persist despite all the scrutiny? Because it fits corporate incentives surprisingly well. Firms seek legitimacy, manage stakeholder pressure and protect reputation. When standards are unclear and verification is weak, symbolic compliance becomes cheaper than substantive change.

The resulting harm is not confined to consumer deception. Greenwashing can misdirect capital, distort competition, weaken trust in disclosure systems and slow genuine environmental progress by rewarding performance theatre over performance itself.

That is why consumer protection law, though necessary, cannot do the whole job. It usually intervenes after the claim is made and focuses on the message. A governance approach works earlier and deeper. It asks what internal controls, board structures, verification systems and incentive arrangements allowed the claim to be made in the first place. The next chapter turns to whether corporate law doctrine can carry that preventive burden.